

Instructor Guide

NELLEN, YOUNG, CRIPE, LASSAR, PERSELLIN, CUCCIA, CORPORATIONS, PARTNERSHIPS, ESTATES & TRUSTS 2026, 9798214044033; CHAPTER 10: PARTNERSHIPS: DISTRIBUTIONS, TRANSFER OF INTERESTS, AND TERMINATIONS

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CHAPTER OBJECTIVES

The following objectives are addressed in this chapter:

- 10.1 Define terms related to distributions from a partnership.
- 10.2 Describe hot assets and their significance.
- 10.3 Determine the tax treatment of proportionate current distributions from a partnership to a partner.
- 10.4 Determine the tax treatment of proportionate distributions that liquidate a partnership.
- 10.5 Describe the rules that apply to property distributions with special tax treatment.
- 10.6 Explain the general concepts governing tax treatment of disproportionate distributions.
- 10.7 Determine the tax treatment under § 736 of payments from a partnership to a retiring or deceased partner.
- 10.8 Calculate the selling partner's amount and character of gain or loss on the sale or exchange of a partnership interest.
- 10.9 Describe tax issues related to other dispositions of partnership interests.
- 10.10 Calculate the optional adjustments to basis under § 754.
- 10.11 Outline the events that could terminate a partnership.

- 10.12 Identify the special considerations of a family partnership.
- 10.13 Describe the application of partnership provisions to limited liability companies (LLCs) and limited liability partnerships (LLPs).
- 10.14 Evaluate various tax planning considerations related to partnership distributions and sales of partnership interests.

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CHAPTER OUTLINE

In the outline below, each element includes references (in parentheses) to related content. “CO CH.##” refers to the chapter objective; “PPT Slide #” refers to the slide number in the PowerPoint deck for this chapter (provided in the PowerPoints section of the Instructor Resource Center); and, as applicable for each discipline, accreditation or certification standards (“BL 1.3.3”). Introduce the chapter and use the Ice Breaker in the PPT if desired, and if one is provided for this chapter. Review learning objectives for Chapter 10 (PPT Slides 2–5).

- I. Distributions from a Partnership
 - i. A distribution from a partnership reflects the aggregate theory, which holds that the partner essentially owns a share of the partnership’s underlying assets.
 - a. Distributions in General (10.1, PPT Slides 10–16)
 - i. A distribution is a payment from a partnership to a partner with respect to the partner’s ownership interest in the partnership. However, not all payments from a partnership to a partner are treated as distributions (e.g., rent, guaranteed payments, etc.).
 - ii. The general rules for distributions (and other partnership transaction rules) can be affected by changes in the partners’ shares of ordinary income-producing assets (so-called “hot assets”) and disproportionate distributions.
 - iii. Current versus Liquidating Distributions. Distributions from partnerships to partners are made in cash and/or partnership property.
 - 1. All distributions fall into two categories: liquidating or current (nonliquidating) distributions.
 - 2. Categorization as a current distribution or a liquidating distribution depends solely on whether the partner remains a partner after the distribution is made.
 - 3. Liquidating Distributions. Liquidating distributions occur when either of the following happens:
 - (a) The partnership liquidates and distributes all of its property to its partners.

- (b) An ongoing partnership redeems the interest of one of its partners. This situation is governed by § 736.
- 4. Current Distributions. A current distribution (sometimes called a “nonliquidating distribution”) is any other distribution from a continuing partnership to a continuing partner—that is, any distribution that is not a liquidating distribution. (See Example 2 in the text.)
- iv. Ordinary Income-Producing (Hot) Assets. (10.2, PPT Slides 17–23)
When a transaction would change a partner’s interest in the underlying hot assets, an accounting must be made, and the related ordinary income is recognized by the affected partner. Hot assets include unrealized receivables and inventory, as defined in §§ 751(c) and (d). The definitions of these two types of hot assets differ, depending on whether the triggering transaction is a sale or a distribution.
 - 1. Unrealized Receivables. Code § 751(c) defines unrealized receivables as any amount not previously reported as income by the partnership under its normal methods of accounting to the extent it would arise from (1) “goods delivered or to be delivered ... other than [from disposition of] a capital asset,” or (2) “services rendered or to be rendered.”
 - 2. Inventory. Code § 751(d) defines inventory so broadly that it basically includes any asset that would yield ordinary income if the asset were sold either by the partner or by the partnership. It includes traditional inventory [as defined in § 1221(a)(1), or (2)] as well as property that, if sold, would not be treated as a capital or § 1231 asset.
 - 3. Concept Summary 10.1 in the text summarizes some of the items that may be treated as hot assets for each of the three situations in which they might trigger ordinary income.
- v. Proportionate versus Disproportionate Distributions. Each distribution also is classified based on whether it is proportionate or disproportionate.
 - 1. In a proportionate distribution, a partner receives the appropriate share of the partnership’s hot assets.
 - 2. A disproportionate distribution occurs when the distribution increases or decreases the distributee partner’s interest in these assets.
- b. Proportionate Current Distributions (10.3, PPT Slides 24–31)
 - i. In general, neither the partner nor the partnership recognizes gain or loss when a proportionate current distribution occurs. (See Example 4 in the text.)
 - ii. Cash Distributions.

1. Gain Recognition. A proportionate current distribution of cash is taxable to the partner to the extent the distributed cash exceeds the partner's outside basis.
 2. Liability Reduction Treated as Cash Distribution. Any reduction of a share of debt in excess of a partner's basis in the partnership is taxable to the partner as a gain.
 3. Marketable Security Distributions Treated as Cash. Marketable securities distributions also can be generally treated as a cash distribution. The amount treated as a cash distribution is somewhat tricky to calculate.
 4. Loss Recognition Disallowed. The distributee partner cannot recognize a loss on a proportionate current distribution of cash or property. The loss is deferred because tax law typically does not permit a loss to be recognized until it is certain to occur. (See Example 7 in the text.)
- iii. Property Distributions. If the partnership's basis in the property is greater than the partner's basis in the partnership interest, the distributed asset takes the lower substituted basis. (See Example 8 in the text.)
- iv. Ordering Rules. When multiple properties are distributed, the assets are deemed distributed in the following order:
- Step 1. Cash is distributed first.
 - Step 2. Unrealized receivables and inventory are distributed second.
 - Step 3. All other assets are distributed last.
1. Basis in Distributed Property and Partnership Interest (Steps 2 and 3). In a current distribution, the partner cannot step up (increase) the basis in distributed property beyond the partnership's basis. However, a current distribution can result in a step-down (reduction to the property's basis).
- (a) After a cash distribution (step 1), the partner's basis in the interest is recomputed.
 - (b) Then, the effect of a distribution of unrealized receivables or inventory (step 2) can be determined.
 - (c) If the remaining outside basis at the end of any step is insufficient to cover the entire inside basis of the assets in the next step, the basis in the remaining assets (step 3) is stepped down to equal the partner's remaining basis in the partnership interest.

Examples: Partner Bob's basis in his partnership interest is \$50,000. What gain or loss is recognized, and what are Bob's basis in the property received and his basis in his partnership interest, if the partnership makes the following independent proportionate nonliquidating distributions?

- Partnership distributes \$40,000 in cash. Bob reduces his basis in the partnership to \$10,000, has \$40,000 cash, and recognizes no gain or loss.
 - Partnership distributes \$60,000 cash. Bob reduces his basis in the partnership to \$0, has \$60,000 cash, and recognizes a gain of \$10,000 on the excess distribution.
 - Partnership distributes \$40,000 cash and accrual basis accounts receivable with a \$20,000 basis and value. Bob reduces his basis in the partnership to \$0, has \$40,000 cash, and has a \$10,000 substituted basis in the receivables. He recognizes no gain or loss.
 - Partnership distributes \$8,000 of inventory value with a \$5,000 basis. Bob reduces his basis in the partnership to \$45,000, has a \$5,000 carryover basis in the inventory, and recognizes no loss as this is a nonliquidating distribution.
 - Partnership distributes two parcels of land, each with a value of \$30,000. The partnership's basis in parcel A is \$40,000 and in parcel B is \$20,000. Bob reduces his basis in his partnership interest to \$0, assigns a \$50,000 substituted basis to the two parcels, and recognizes no gain or loss. His \$50,000 basis is allocated between the two parcels as follows:
 - First, parcels are assigned carryover bases of \$40,000 for parcel A and \$20,000 for parcel B (\$60,000 total).
 - Next, the decline in value for parcel A is eliminated, reducing its basis from \$40,000 to \$30,000. The basis of parcel B is not adjusted because it is an appreciated asset.
 - Last, bases in the two properties now total the \$50,000 basis Bob must allocate to the parcels. Parcel A is allocated a \$30,000 basis, and parcel B is allocated a \$20,000 basis. Bases are now closer to the values of the properties.
- v. Concept Summary 10.2 in the text reviews the general rules that apply to proportionate current partnership distributions.
- c. Proportionate Liquidating Distributions (10.4, PPT Slides 32–48)
- i. Proportionate liquidating distributions consist of either a single distribution or a series of distributions that result in the termination of the partner's entire interest in the partnership. The partnership may or may not also liquidate.
 - ii. No Partnership Level Gain or Loss. In a proportionate liquidating distribution where the partnership liquidates, the partnership does not recognize either gain or loss. In contrast, if a corporation distributes property in a complete liquidation, the corporation

recognizes gain or loss as if it sold all of its property at fair market value.

iii. Gain Recognition and Ordering Rules.

1. Ordering rules parallel those for current distributions except that the partner's entire basis in the partnership interest is allocated to the assets, unless the partner is required to recognize a loss.
2. The general ordering and gain recognition rules for a proportionate liquidating distribution are summarized as follows:
 - Step 1. Cash is distributed first. The cash distribution results in a capital gain if the amount distributed exceeds the partner's basis in the partnership interest.
 - Step 2. Unrealized receivables and inventory are distributed second. These assets take a basis equal to the lesser of the partnership's inside basis in those assets or the partner's remaining outside basis. The partner's outside basis is reduced by the amount of basis assigned to these ordinary income-producing assets.
 - Step 3. If the liquidating partner has any remaining outside basis (after the step 2 distribution), the entire remaining basis is allocated to the assets received in step 3.

iv. Multiple Properties in an Asset Class. When more than one asset in a particular class is distributed in either a proportionate current distribution or a proportionate liquidating distribution, special rules may apply. (See Example 12 in the text.)

1. If a step-down is needed, the partner's basis for each distributed asset is proportionately reduced so as to reduce the differences between each asset's basis and its fair market value.
2. If, in a liquidating distribution, a step-up is needed, the partner's basis for the assets in the class is determined such that the basis amounts ultimately are in proportion to the fair market values of the distributed assets in that class.

v. Loss Recognition. The distributee partner recognizes a loss on a liquidating distribution only if both of the following are true (see Examples 13 and 14 in the text):

1. The partner receives only cash, unrealized receivables, or inventory.
2. The partner's outside basis exceeds the partnership's inside basis for the distributed cash and hot assets.

Examples: Jill has a basis in her partnership interest of \$50,000. What gain or loss does Jill recognize, and what is her basis in the property received if the partnership makes the following independent proportionate liquidating distributions?

The partnership also liquidates. Compare the results of these examples with the previous examples for Bob.

- Partnership distributes \$40,000 cash. Jill has \$40,000 cash and recognizes a loss of \$10,000, because she received only cash in the distribution.
 - Partnership distributes \$60,000 cash. Jill has \$60,000 cash and recognizes a gain of \$10,000 on the excess distribution.
 - Partnership distributes \$40,000 cash and accrual basis accounts receivable with a \$20,000 basis and value. Jill has \$40,000 cash and a \$10,000 substituted basis in the receivables. She recognizes no gain or loss.
 - Partnership distributes \$8,000 of inventory value with a \$5,000 basis. Jill takes a \$5,000 carryover basis in the inventory and reports a \$45,000 loss on the liquidation, because she received only cash, inventory, and/or unrealized receivables in the distribution.
 - Partnership distributes two parcels of land, each valued at \$20,000. Basis in parcel A is \$10,000 and in parcel B is \$20,000. The land parcels are capital assets to both Jill and the partnership. Jill assigns \$50,000 substituted basis to the two parcels. Jill's \$50,000 basis is allocated between the two parcels as follows:
 - First, the parcels are assigned carryover bases of \$10,000 for parcel A and \$20,000 for parcel B (\$30,000 total).
 - Next, the appreciation in parcel A is added to the basis of the parcel. This increases its basis from \$10,000 to \$20,000. The basis of parcel B is not adjusted above \$20,000 because it is not an appreciated asset.
 - Bases in the properties now total \$40,000, but Jill must allocate \$50,000 to them. The additional \$10,000 basis is allocated according to the relative values of the property. The properties have equal values (\$20,000). Therefore, the \$10,000 is allocated equally (\$5,000 to each parcel). Jill's basis in each parcel, then, is \$25,000.
 - Jill recognizes no gain or loss. Note that Jill can "step up" the basis in land (a capital asset), but she cannot "step up" her basis in unrealized receivables or inventory.
- vi. Concept Summary 10.3 in the text outlines the general rules that apply to proportionate liquidating partnership distributions.
- d. Property Distributions with Special Tax Treatment (10.5, PPT Slides 49–53)
- i. This section discusses exceptions in which a proportionate distribution, either liquidating or nonliquidating, may result in gain to the partner.
 - ii. Disguised Sales. If the IRS determines that the payment is part of a "purchase" of the property, the partner must report a gain on the

deemed sale, and the partnership takes a cost basis in the “purchased” property.

- iii. **Marketable Securities.** A portion of a marketable security distribution might be treated as a cash distribution, resulting in a gain to the distributee partner if the partnership’s basis in the security is greater than the partner’s basis in the partnership interest.
 - 1. When appreciated marketable securities are distributed, the securities probably have been held by the partnership for some time and, therefore, were not acquired in anticipation of being distributed to a partner.
 - 2. Unless otherwise indicated, the remaining examples in this chapter assume that the partnership is not distributing marketable securities.
- iv. **Precontribution Gain.** Taxable gains may arise on a distribution of property to a partner where precontribution (built-in) gains exist. If a partner contributes appreciated property to a partnership, the contributing partner recognizes gain in two situations.
 - 1. The contributed appreciated property is distributed to another partner within seven years of the contribution date.
 - 2. The partnership distributes any property other than cash to a contributing partner within seven years after that partner contributed appreciated property to the partnership.These situations result in gain recognition to the contributing partner, as well as adjustments to that partner’s basis in the partnership interest and/or the basis in the precontribution gain property. (See Example 15 in the text.)
- e. **Disproportionate Distributions (10.6, PPT Slides 54–58)**
 - i. A disproportionate distribution occurs when a partnership distributes cash or property to a partner and that distribution increases or decreases the distributee partner’s proportionate interest in hot assets.
 - 1. Hot assets include unrealized receivables (as described earlier) and substantially appreciated inventory.
 - 2. Inventory is substantially appreciated if the fair market value of all inventory items exceeds 120% of the partnership’s adjusted basis in them.
 - ii. The taxation of disproportionate distributions is based on the aggregate theory of taxation.
 - 1. Each partner is deemed to own a proportionate share of the underlying assets of the partnership.
 - 2. Each partner is responsible for recognizing and reporting the proportionate share of ordinary income related to substantially appreciated inventory and cash basis receivables.

- iii. Code § 751(b) maintains each partner's proportionate share of ordinary income by recasting any transaction in which a disproportionate distribution of hot assets is made.
 - iv. If the distributee partner receives less than a proportionate share of hot assets, the transaction is treated as if two separate events occurred:
 - 1. The partnership made a distribution of some of the hot assets to the distributee partner.
 - 2. That partner immediately sold these hot assets back to the partnership.
 - v. The partner recognizes ordinary income on the sale of the hot assets, and the partnership takes a cost basis for the hot assets purchased. (See Example 16 in the text.)
- II. Section 736—Liquidating Distributions to Retiring or Deceased Partners (10.7, PPT Slides 59–74)
 - i. There are several situations in which a partner leaves the partnership and the partnership (or a successor entity) continues in existence.
 - ii. Code § 736 applies:
 - 1. When a partner's interest is liquidated by an ongoing partnership.
 - 2. When the partnership must buy out the interest of a successor who inherited an interest from a deceased partner.
 - iii. For both situations, the buy-out by the partnership is similar in concept to the redemption of a corporate shareholder's stock by the corporation.
- a. General Partners in Service-Providing Partnerships
 - i. Code § 736 generally is most relevant when the retiring or deceased partner was treated as a general partner in a service-providing partnership.
 - 1. Code § 736 applies when a deceased or retiring partner was a general partner or a partner treated as a general partner.
 - 2. The partnership also must be "service providing," which happens if "capital is not a material income-producing factor for the partnership."
 - 3. The deceased or retiring partner for purposes of text Section 10-2a will generally be a person—an individual taxpayer—rather than a corporation, trust, or other entity.
 - ii. The payments under the buyout package are classified as either § 736(a) income payments or § 736(b) property payments.
 - iii. Code § 736 only classifies the payments between these two categories. Other rules determine the tax effects of that classification.

- iv. **Income Payments.** Payments by a service-providing partnership to a general partner are § 736(a) income payments if they fall into the following categories:
 - 1. Payments for the partner's pro rata share of unrealized receivables.
 - 2. Payments for the partner's pro rata share of partnership goodwill if the payment is "unstated" (not provided in the partnership agreement).
 - 3. Certain annuities and lump-sum payments to the partner.
- v. **Property Payments.** Any payments that are not § 736(a) payments are treated as § 736(b) property payments. They include payments to the partner for the service-providing partnership's:
 - 1. Fixed assets and equipment.
 - 2. Inventory, whether or not it is classified as a hot asset.
 - 3. Accrual basis accounts receivable.
 - 4. Goodwill, if it is stated in the partnership agreement.
- b. **Limited Partners or Capital-Intensive Partnerships**
 - i. If the payment is from a capital-intensive partnership to any partner or from a service-providing partnership to a partner treated as a limited partner, the entire payment is treated as a § 736(b) property payment with no deduction to the partnership and capital/ordinary gain or loss to the partner.
 - ii. If the redeemed partner is any entity other than an individual taxpayer, the entire payment generally is a § 736(b) payment.
 - iii. See Example 17 in the text.
- c. **Tax Treatment of § 736 Payments**
 - i. Code § 736 only classifies the liquidation payment from the partnership; other provisions govern the tax treatment.
 - ii. **Tax Treatment of § 736(b) Property Payments.**
 - 1. Code § 736(b) property payments (including "stated" goodwill) may not be deducted by the partnership.
 - 2. Code § 736(b) payments to the partner for "nonhot" assets are treated first as a return of the partner's outside basis in the partnership.
 - (a) Once the entire basis is returned, any additional amounts are taxed to the partner as capital gain.
 - (b) If the cash distributions are not sufficient to return the partner's entire outside basis, the shortfall is treated by the partner as a capital loss. (See Example 18 in the text.)
 - 3. A cash payment under § 736(b) in exchange for a retiring partner's share of hot assets would be a disproportionate distribution.
 - iii. **Tax Treatment of § 736(a) Income Payments.**

1. Payments not classified as § 736(b) property payments are § 736(a) income payments. These payments are treated either as:
 - (a) A partner's distributive share of partnership income, or
 - (b) A guaranteed payment to the retiring partner.
2. Code § 736(a) income payments are treated as a distributive share of partnership income if the partnership agreement or buy-out agreement states that they are determined by reference to the total amount of partnership income. These amounts are taxed to the retiring partner according to their character to the partnership.
3. The payments treated as guaranteed payments are fully taxable as ordinary income to the distributee partner and are fully deductible by the continuing partnership. (See Example 19 in the text.)
- iv. Exhibit 10.1 in the text summarizes the taxation results of Examples 17 through 19 in the text for situations where capital is or is not a material income-producing factor (or where the partner is a limited partner).
- v. From the partnership's perspective, the § 736 classification will determine whether it can deduct any portion of the payment to the retiring partner.
- vi. Concept Summary 10.4 in the text reviews the rules for liquidating distributions under § 736.

III. Sale of a Partnership Interest (10.8, PPT Slides 75–87)

- i. A partner can sell or exchange all or part of a partnership interest.
 1. A sale of a partnership interest to a third party is similar in concept to a sale of corporate stock.
 2. Because both the entity and aggregate theories are at work, the partner might be required to split the gain or loss on disposition of the partnership interest into ordinary and capital gains or losses.
- a. General Rules
 - i. Generally, the sale or exchange of a partnership interest results in gain or loss, measured by the difference between the amount realized and the selling partner's basis in the partnership interest.
 - ii. Liabilities. While the selling partner's share of partnership liabilities is considered in determining the gain or loss on the disposition, the gain/loss is not affected because both the amount realized and the outside basis are increased by equal amounts.
 - iii. Income Allocation. Partnership income for the taxable year must be allocated between the buying partner and the selling partner. The partnership's tax year "closes" with respect to the selling partner

[§ 706(c)(2)(A)] and this closing could result in income bunching when the partner's tax year-end differs from the partnership's.

- iv. Tax Reporting. The partnership is not required to issue a Schedule K-1 to the selling partner until the normal filing of its tax return. The partner, though, is required to include the share of partnership income as of the sale date. (See Example 22 in the text.)

Example: The NOP Manufacturing Partnership has always operated at breakeven (i.e., has never made a profit or suffered a loss). Partner Natalie, a general partner who originally invested \$1,000 in the partnership, sells her interest for \$5,000 in cash and the assumption of her \$10,000 share of partnership debt. If the tax basis balance in her capital account is \$1,000 (her original investment), her gain on the sale is \$4,000.

Selling price		
Cash		\$ 5,000
Assumption of debt share		<u>10,000</u>
Total		\$ 15,000

Natalie's basis in interest		
Capital account (tax basis)	\$ 1,000	
Debt share	<u>10,000</u>	<u>(11,000)</u>
Gain on sale		<u>\$ 4,000</u>

- b. Hot Assets and Carried Interests
 - i. Special rules apply if the partnership owns hot assets or if the partnership interest is a "carried interest."
 - ii. Sale of Partnership Interests with Hot Assets. If the partnership holds hot assets, the selling partner will incur both ordinary income (loss) and capital gain (loss) on the sale of the interest. Recall that hot assets are unrealized receivables and inventory, which, when collected or disposed of by the partnership, would cause it to recognize ordinary income or loss.
 1. The sale is treated as if the partner sold the underlying share of the partnership's ordinary income (loss) assets.
 2. Unrealized Receivables. Unrealized receivables generally include the accounts receivable of a cash basis partnership and depreciation recapture potential.
 3. Inventory. Inventory includes all partnership property except cash, capital assets, and § 1231 assets. For sales of a partnership interest, the inventory is not required to be substantially appreciated.
 - iii. Sale of Carried Interests. If the partnership interest being sold is classified as a "carried interest," any gain on the sale of that interest is treated as a short-term capital gain unless the interest has been held for more than three years.

- iv. Concept Summary 10.5 in the text outlines the rules that apply to sales of partnership interests.

IV. Other Dispositions of Partnership Interests (10.9, PPT Slides 88–94)

- i. There are various other ways to terminate a partnership interest, including:
 - Transfer of the interest to a corporation.
 - Death of a partner.
 - Gifts.
- a. Transfers to a Corporation
 - i. The controlled corporation rules provide that gain or loss is not recognized on the transfer of property to a corporation solely in exchange for stock in that corporation if, immediately after the exchange, the stockholders are in control of the corporation.
 - ii. In most situations in which an existing partnership is incorporated and continues to operate, § 351 conditions are met, and the incorporation is a nontaxable exchange.
 - iii. If § 351 conditions are not met, the partners recognize gain or loss on the transfer according to standard rules for sales or exchanges.
- b. Death of a Partner
 - i. If a partner in a partnership dies, several issues must be addressed.
 1. Allocation of income. The partnership's income is allocated between the decedent and the successor in interest just as with a sale or exchange.
 2. Successor's basis and capital account. The successor takes a basis in the partnership interest as determined under estate tax rules (generally a fair market value basis). That basis likely differs from the underlying basis of the partner's share of partnership assets. The successor partner's capital account should equal the decedent's ending capital account.
 3. Automatic liquidation or sale. The partnership might have a buy-sell agreement in effect that triggers liquidation or sale of the interest on death of the partner. If the transfer is structured as a liquidation, § 736 will apply, and if the transfer is structured as a sale between the partners, § 741 will apply.
 4. Section 754 election. A § 754 election can remove the disparity that might arise between the successor's basis in the partnership interest and the successor's share of the partnership's basis in its assets.
- c. Gifts
 - i. Generally, the donor of a partnership interest recognizes neither gain nor loss.

1. If the donor's entire interest is transferred, all items of partnership income, loss, deduction, or credit attributable to the interest are prorated between the donor and donee.
 2. The taxable year of the partnership does not close with respect to the donor, so the donor reports their share of partnership income or loss at the end of the partnership's tax year.
- V. Section 754—Optional Adjustments to Property Basis (10.10, PPT Slides 95–105)
- i. The transactions that could trigger an out-of-balance situation fall into two general categories: (1) sale or transfer of a partnership interest or (2) certain distributions of partnership property.
 - ii. A partnership can make an optional adjustment election or § 754 election to adjust the inside basis of the partnership property to bring inside basis and outside basis back into balance.
 - iii. If the § 754 election is made, the partnership's basis in its assets can be adjusted to reflect the purchase price paid by the new partner. If the election is not made, the statute produces some inequitable results.
 - iv. A § 754 election:
 1. Is made by the partnership, not the partner.
 2. Is binding on the partnership and will apply to all sales or distributions in subsequent years, unless consent from the IRS is received.
 - v. A basis adjustment is generally required if a sale or distribution occurs and the partnership has a substantial built-in loss or a substantial basis reduction.
 1. A substantial built-in loss exists relative to a sale of a partnership interest when the partnership's adjusted basis for all partnership property exceeds the fair market value of the property by more than \$250,000, or if the partner would be allocated more than a \$250,000 loss if all partnership assets were sold.
 2. A substantial basis reduction exists relative to a distribution when the distributee partner recognizes a loss (or basis reduction) of at least \$250,000.
 - a. Adjustment: Sale or Exchange of an Interest
 - i. If the § 754 optional adjustment-to-basis election is in effect and a partner's interest is sold, exchanged, or inherited, the partnership adjusts the basis of its assets. The step-up or step-down is allocated among all of the partnership's assets (except cash).
 - b. Adjustment: Partnership Distributions
 - i. Optional adjustments to basis also are available to the partnership when property is distributed to a partner. If a § 754 optional

adjustment-to-basis election is in effect, the basis of partnership property is increased by:

1. Any gain recognized by a distributee partner.
 2. Any step-down in the basis of property received by the distributee partner.
- ii. The basis of partnership property is decreased by:
1. Any loss recognized by a distributee partner in a liquidating distribution.
 2. Any step-up in the basis of property received by the distributee partner.
- iii. Concept Summary 10.6 in the text outlines the rules related to basis adjustments under § 754. Also, see Examples 33, 34, and 35 in the text.

VI. Other Issues

- a. Termination of a Partnership (10.11, PPT Slides 106–111)
- i. A partnership's final tax year ends when no part of the partnership continues to be carried on by any of the partners in a partnership.
 - ii. The partnership terminates and its tax year closes when:
 1. The partnership incorporates,
 2. One partner in a two-party partnership buys out the other partner, thereby creating a sole proprietorship, or
 3. The partnership ceases operations and liquidates.
 - iii. The partnership taxable year usually does not close under the following circumstances:
 1. Upon the death of a partner.
 2. Upon the liquidation of a partner's interest, unless there is only one partner remaining.
 3. Upon the entry of a new partner to the partnership.
 4. Upon the sale or exchange of an existing partnership interest.
- Example:** The NOP Partnership's balance sheet on December 31, 2025, is as follows:

	Adjusted Basis	Market Value
Cash	\$30,000	\$30,000
Inventory	9,000	9,000
Capital asset	<u>21,000</u>	<u>45,000</u>
	<u>\$60,000</u>	<u>\$84,000</u>
 Nate, capital	 \$20,000	 \$28,000
Oscar, capital	20,000	28,000
Peter, capital	<u>20,000</u>	<u>28,000</u>
	<u>\$60,000</u>	<u>\$84,000</u>

On December 31, Nate sells his interest to Katelyn for \$28,000, and Oscar sells his to Whitney for \$30,000. Whitney paid more

than Katelyn simply because Whitney did not bargain as well. The sale of the two interests results in a “technical” termination of the partnership.

Old NOP Partnership is considered to terminate and transfer its assets to new KWP Partnership. KWP takes a carryover basis in each asset. The interests in the KWP Partnership are then distributed to Katelyn, Whitney, and Peter. The partners take substituted bases in the one-third partnership interests they receive in the KWP Partnership. Katelyn’s substituted basis will be \$28,000, Whitney’s will be \$30,000, and Peter’s will be \$20,000.

- iv. Partnership rules also generally apply to family partnerships, limited liability companies, and limited liability partnerships.
- b. Family Partnerships (10.12, PPT Slides 112–116)
 - i. Family partnerships are owned and controlled primarily by members of the same family. For this purpose, “family” includes the individual’s spouse, ancestors, lineal descendants, and trusts established for the benefit of any of those parties; it does not include siblings.
 - ii. Capital versus Services. Because of the concern that family partnerships are established primarily for tax avoidance purposes, a family member is recognized as a partner (to receive pass-through income and loss) only in the following cases:
 - 1. Capital is a material income-producing factor in the partnership, and the family member’s capital interest is acquired in a bona fide transaction in which the partner receives both ownership and control over the interest.
 - 2. Capital is not a material income-producing factor, but the family member contributes substantial or vital services.
 - iii. Gift of Capital Interest. If a family member receives a gift of a capital interest in a family partnership in which capital is a material income-producing factor, only part of the income may be allocated to this interest.
- c. Limited Liability Companies (10.13, PPT Slides 117–123)
 - i. Limited liability companies (LLCs) combine partnership taxation with limited personal liability for all owners of the entity.
 - ii. Taxation of LLCs. If the LLC is organized properly, it is generally taxed as a partnership. Because none of the LLC members are personally liable for any debts of the entity, the LLC is effectively treated as a limited partnership with no general partners.
 - iii. Converting to an LLC. A partnership can convert to an LLC with very few tax consequences. The bases and interest remain in the new entity.

- iv. Advantages of an LLC. An LLC offers certain advantages over a limited partnership.
 - 1. Owners of an LLC are not personally liable for the entity's debts.
 - 2. Owners of an LLC have the legal right to participate in the entity's management.
- v. Disadvantages of an LLC. One disadvantage is the relative "newness" of this formation.
 - 1. There just aren't many case laws; therefore, some provisions are uncertain.
 - 2. Statutes will vary from state to state.
- d. Limited Liability Partnerships
 - i. A limited liability partnership (LLP) is similar to a general partnership. The differences between the two entities are small but very significant.
 - 1. In a general partnership, the partners are jointly and severally liable for all partnership debts.
 - 2. In some states, the partners in a registered LLP are jointly and severally liable for contractual liabilities. They are not, however, personally liable for the malpractice and torts of their partners (a partner is always personally liable for her/his own malpractice or other torts).
 - ii. All states permit LLPs to be formed; they must have formal documents of organization and register with the state.
 - iii. When a general partnership converts to an LLP, it generally is treated as a continuation of the old partnership for tax purposes if all of the general partners become LLP partners and hold the same proportionate interests in the LLP that they held in the general partnership.
- e. Partnership Administration and Anti-Abuse
 - i. Most larger partners will designate a "tax matters partner" who oversees the partnership's relationship with the IRS.
 - ii. A partner's share of each partnership item should be reported on the partner's tax return in the same manner as presented on the partner's Schedule K-1.
 - 1. If a partner treats an item differently, the IRS should be notified of the inconsistent treatment.
 - 2. If a partner fails to notify the IRS, a penalty may be added to the tax due.
 - iii. The IRS can disregard the form of a partnership transaction when it believes that the transaction (or series of transactions) is abusive.

VII. Tax Planning (10.14, PPT Slides 124–129)

a. Planning Partnership Distributions

- i. The following possibilities should be considered carefully:
 1. When gain recognition is undesirable, make sure cash distributions, repayments, and debt assumptions do not exceed the basis of the receiving partner's interest.
 2. If a capital loss is undesirable, the partnership should also distribute a capital or § 1231 asset that will take the partner's remaining basis in the interest.
 3. Consider making a proportionate distribution of hot assets to the receiving partner.
 4. If precontribution gain property is contributed, the gain can be further deferred if the partnership waits seven years before the distribution to another partner and distribution of other partnership property if that value exceeds the partner's basis in the partnership.
 5. Include a liquidating provision in the partnership agreement.
- b. Sales and Exchanges of Partnership Interests
 - i. Delaying Income for the Seller. A partner planning to dispose of a partnership interest in a taxable transaction might consider receiving a pro rata distribution of hot assets, followed by a sale of the remaining interest in the partnership.
 - ii. Providing Basis for the Buyer. If a partnership interest is acquired by purchase, the purchaser may want to condition the acquisition on the partnership's promise to make an election to adjust the basis of partnership assets (e.g., the election under § 754).
 - iii. State Tax Issues. In addition to the Federal income tax consequences, tax implications also can arise at the state and local levels and cannot be ignored in the selling of a partnership interest.
- c. Comparing Sales to Liquidations
 - i. The before-tax result is the same for:
 1. A sale of a partnership interest to another party, or
 2. The liquidation of the partnership interest under § 736.
 - ii. Payments over Time. When a partner sells the partnership interest to another partner, the selling partner can postpone the recognition of income under the installment sale rules.
 - iii. Payments for Goodwill.
 1. Sale. The partner who purchases a partnership interest often pays for partnership goodwill. The amount attributed to goodwill will increase the purchasing partner's outside basis. The partner cannot amortize goodwill unless the asset qualifies as a § 197 intangible.
 2. Liquidation. If amounts paid by a service partnership in liquidation of a general partner's share of partnership goodwill can be treated as a § 736(a) payment, it is deductible by the partnership. If the payments for goodwill constitute § 736(b)

- property payments, the payments are not deductible by the partnership.
- iv. Valuation Problems. Both the IRS and the courts usually consider the value of a partner's interest or any partnership assets agreed upon by all partners to be correct. To avoid valuation problems on liquidation, the documentation should include a formula or agreed-upon valuation procedure in the partnership agreement or in a related buy-sell agreement.
 - d. Other Partnership Issues
 - i. Liquidating the Entity. The partnership liquidation rules demonstrate the tax advantages of the partnership form over the C corporation in the final stage of the business's life.
 - 1. A service partnership can effectively claim deductions for its payment to a retiring general partner for goodwill.
 - 2. The partnership liquidation itself is not a taxable event.
 - 3. Tax liability relative to the liquidation is generated at the partner level but only upon a recognition event.
 - ii. Family Partnerships. If possible, make certain that very young and elderly members of a family partnership contribute services to the entity to justify allocations of income to them.

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